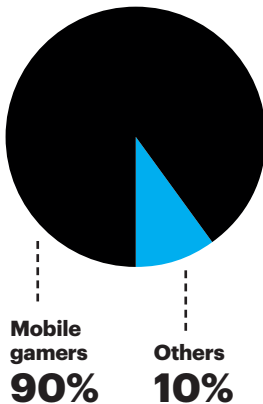


ONLINE CASUAL GAMERS IN INDIA

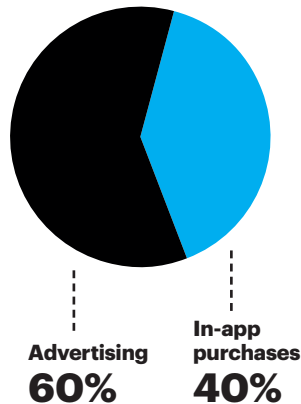
FY22
430-450
million

FY25
600-650*
million
*Estimated

GAMING WORLD USER BASE



REVENUE MIX OF CASUAL GAMING



SOURCE KPMG

Indiagames to Disney for \$100 million in 2011, ramped up game development at nCORE Games in the middle of 2020. “During the first year of operations, we noticed an untapped opportunity for localised and category-defining interactive entertainment content. That led us to start work on titles like *FAU-G*, *Tappi*, *Pro Cricket Mobile* and *Apna Games*,” he says.

Local, Indianised games are not only attracting users, they are also creating unique ad monetisation opportunities for brands. “Advertisers are particularly looking at rewarded ads as a tool to attract the interest of gamers,” shares the KPMG spokesperson. “Even IAP-based monetisation saw an upswing post the lockdown. Indians across digital media are getting increasingly comfortable with paying for entertainment online, and the same applies to gaming as well.”

More importantly, with millions of new users taking to gaming during the pandemic, customer acquisition costs (CAC) for game developers has come down by 60-70 per cent. “In the first year of the pandemic, gaming companies realised that their content had

become more useful in the lockdowns. As a result, more ad inventory opened up for them, and that’s why CAC went down at the start,” explains Gamezop’s Agarwal.

WEB 3.0 GAMING: THE FUTURE?

Cut to 2022. Web 3.0 and the metaverse—terms becoming more ubiquitous by the day—are being called the future of gaming. “Finance and gaming are two of the biggest applications of Web 3.0,” asserts Rooter’s Kumar. “The advantage in Web 3.0 is that any currency or asset you earn in a game can be used across other games. This is not available in Web 2.0. The ‘play-to-earn model’ is also picking up. You can earn cryptos and NFTs in Web 3.0, and the more you play, the more you earn.”

Industry watchers say a lot of marketing dollars are also flowing into gaming right now, and the future of brand engagements “is very bright”. “A certain age group has moved away from Netflix. They are either watching a game or playing it. In Web 3.0 and the metaverse, they can also interact with the games. Advertisers can enable commerce in them, and create newer monetisation models,” explains Kumar.

nCORE Games, for instance, has partnered with top Web 3.0 and interactive entertainment companies like Animoca Brands and Galaxy Digital. “We are investing significantly in exploring Web 3.0 and cryptocurrency models within our games,” reveals Gondal. “We believe these concepts will usher in a new age of gaming that will empower end users, especially those in low-ARPU countries [like India].”

In the Web 3.0 universe, all games will be “economies in themselves”. Audiences will pay for the premium content that will, in turn, increase ARPUs. “Advertisers too will be willing to pay more because the metaverse is new and trendier,” says Agarwal. “The predominant form of monetisation in Indian gaming will be advertising. And that is not going to change anytime soon,” he states.

And that may not be a bad thing for a nascent industry. **BT**

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